

Financial Results 2006

Summarised Audited Results for the Twelve months to 31st March 2007

Profit and Loss Ksh 000s	Twelve Months To 31/3/2007	Twelve Months To 31/3/2006	% Change
Turnover	47,447,490	34,971,944	35.7%
Cost of sales	(18,155,340)	(12,915,720)	40.6%
Gross profit	29,292,150	22,056,224	32.8%
Operating expenses	(11,503,631)	(9,280,055)	24.0%
Operating profit	17,788,519	12,776,169	39.2%
Financing costs	(595,780)	(565,626)	5.3%
Profit before income tax	17,192,739	12,210,543	40.8%
Taxation	(5,182,308)	(3,785,087)	36.9%
Profit after taxation	12,010,431	8,425,456	42.5%
Proposed Dividend	4,000,000	2,991,673	33.7%
Balance Sheet Ksh 000s	At 31st March	At 31st March	
	2007	2006	
Capital Employed			
Shareholders' Funds	32,789,307	23,770,549	
Non Current Borrowings	10,435,000	9,235,000	
	43,224,307	33,005,549	
Represented by			

Non Current Assets	46,258,495	36,411,205	
Current Assets:			
Inventories	1,234,645	1,101,022	
Receivables and prepayments	3,027,407	3,515,266	
Cash and cash equivalents	5,887,692	2,917,454	
	10,149,744	7,533,742	
Current Liabilities			
Payables and accrued expenses	12,390,146	10,568,573	
Current income tax	754,046	354,099	
Derivative financial instruments	39,740	-	
Borrowings	-	16,726	
	13,183,932	10,939,398	
Net current liabilities	(3,034,188)	(3,405,656)	
	43,224,307	33,005,549	
Cash flow statement Ksh 000s	Twelve months to 31st March 2007	Twelve months to 31st March 2006	
Operating activities			
Cash generated from operations	26,924,595	19,379,473	

Interest received	258,218	74,446	
Interest paid	(895,753)	(408,527)	
Income tax paid	(5,002,191)	(4,256,146)	
Net cash from operating activities	21,284,869	14,789,246	
Investing activities			
Purchase of property, plant and equipment	(16,337,975)	(11,402,143)	
Prepayment of operating lease rentals	(216,176)	(358,552)	
Proceeds from disposal of property, plant and equipment	21,164	13,980	
Payment of license	(15,000)	-	
Net cash used in investing activities	(16,547,987)	(11,746,715)	
Financing activities			
Repayment of bank borrowings	(16,726)	(5,286,883)	
Borrowing during the year	1,200,000	5,016,726	
Other financing costs paid	41,755	(292,104)	
Dividend paid	(2,991,673)	-	
Net cash used in financing activities	(1,766,644)	(562,261)	
Increase in cash and cash equivalents	2,970,238	2,480,270	

Movement in cash and cash equivalents			
At start of year	2,917,454	437,184	
Increase	2,970,238	2,480,270	
At end of year	5,887,692	2,917,454	
	43,224,307	33,005,549	

Safaricom Ltd is pleased to announce its audited results for the financial year ending 31st March 2007. The last year has been yet another record year for company, with subscriber base increasing from 3.944m to 6.082m, a growth of 54.2% during the year and compares with 57% growth 2005/6. net connections in the year were 2.138m, an increase of 149% over the previous year's net connections of 1.432m. This growth is the result of the continuing increased network rollout to the rural areas, the new services and tariffs introduced during the year, the aggressive and effective sales and marketing campaigns, the ongoing belief that the country has in the value of the Safaricom network and services offered and the general improvement in the Kenyan economy.

Total Turnover for the year increased by 35.7% to Ksh47.448bn up from Kshs34.972bn in the previous year. This increase compares very favourably to the 30% increase in 2005/6. Operating Profit rose to Ksh17.789bn an increase of 39.3% from the previous year's Ksh12.776bn.